

DIAMOND TRUST BANK KENYA LIMITED
UNAUDITED GROUP AND BANK RESULTS FOR THE PERIOD ENDED 30 SEPTEMBER 2011

	GROUP					BANK				
BALANCE SHEET	Sep. 2011	Jun. 2011	Mar. 2011	Dec. 2010	Sep. 2010	Sep. 2011	Jun. 2011	Mar. 2011	Dec. 2010	Sep. 2010
	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000
	Unaudited	Unaudited	Unaudited	Audited	Unaudited	Unaudited	Unaudited	Unaudited	Audited	Unaudited
ASSETS										
Cash (both local and foreign)	1,678,262	1,640,877	1,680,135	1,463,220	1,164,693	850,357	837,462	853,694	836,618	589,412
Balances due from Central Banks	5,626,980	5,397,098	4,930,794	5,001,928	4,035,301	2,736,163	3,135,488	2,676,641	2,508,731	2,314,636
Kenya Government securities	8,249,652	8,688,591	8,016,176	9,077,110	8,622,962	8,249,652	8,688,591	8,016,176	9,077,110	8,622,962
Foreign currency Treasury bills and bonds	3,565,703	3,764,501	3,733,785	3,991,383	3,861,483	-	-	-	-	-
Deposits and balances due from local banking institutions	3,582,057	2,974,151	2,916,370	2,806,184	3,180,701	3,582,057	2,974,151	2,916,370	2,806,184	3,180,701
Deposits and balances due from banking institutions abroad	5,752,656	4,778,561	6,019,012	5,124,454	4,724,541	2,198,696	2,382,328	2,794,561	1,598,569	2,535,961
Kenya Government and other securities held for dealing purposes	-	-	192,424	410,665	1,255,842	-	-	192,424	410,665	1,255,842
Income tax recoverable	141,778	159,832	17,678	15,827	27,688	124,679	137,264	-	-	-
Loans and advances to customers (net)	74,646,130	63,655,331	57,377,927	52,196,641	50,068,163	53,316,164	45,947,678	41,465,821	37,850,277	36,708,595
Investment securities	37,615	50,365	48,453	59,928	60,748	37,615	50,365	48,453	59,928	56,741
Balances due from group companies	-	-	-	-	-	253,144	225,231	209,198	202,032	202,789
Investments in associates	3,198	3,226	2,737	2,599	-	1	1	1	1	1
Investment in subsidiary companies	-	-	-	-	-	1,118,866	1,118,866	1,118,866	1,118,866	897,226
Investments in joint ventures	-	-	-	-	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-	-	-	-	-
Property and equipment	1,498,148	1,451,740	1,504,718	1,510,816	1,432,722	680,526	697,558	716,084	722,474	695,458
Prepaid lease rentals	10,262	17,479	15,344	15,348	11,041	-	-	-	-	-
Intangible assets	243,116	218,903	238,231	249,599	245,885	188,108	154,912	169,648	180,156	168,249
Goodwill	173,372	173,372	173,372	173,372	173,372	-	-	-	-	-
Deferred tax asset	275,005	279,219	274,391	284,966	38,332	252,707	248,882	243,320	245,330	17,483
Retirement benefit asset	-	-	-	-	-	-	-	-	-	-
Other assets	1,712,443	1,159,002	1,351,337	1,216,137	1,323,084	1,100,663	657,036	847,662	988,882	957,179
Total Assets	107,196,377	94,412,248	88,492,884	83,600,177	80,226,558	74,689,398	67,255,813	62,268,919	58,605,823	58,203,235
LIABILITIES										
Balances due to Central Bank of Kenya	-	-	-	399,957	-	-	-	-	399,957	-
Customer deposits	85,854,091	75,954,610	69,581,571	66,196,600	62,530,114	57,771,110	51,987,965	47,287,122	44,903,973	42,875,749
Deposits and balances due to local banking institutions	532,805	1,133,849	2,187,893	754,035	3,433,717	532,805	1,133,849	2,187,893	754,035	3,433,717
Deposits and balances due to banking institutions abroad	1,402,578	1,337,659	1,356,265	1,654,295	521,807	429,003	1,208,543	321,780	830,752	461,887
Other money market deposits	-	-	-	-	-	-	-	-	-	-
Borrowed funds	4,538,912	2,237,578	2,090,127	2,109,519	2,034,681	4,538,912	2,237,578	2,090,127	2,020,031	2,034,681
Balances due to group companies	-	-	-	-	-	-	-	-	-	-
Current income tax payable	36,656	9,987	583,080	355,227	288,450	-	-	570,720	341,959	286,924
Dividends payable	-	-	-	-	-	-	-	-	-	-
Deferred income tax liability	9,998	9,315	15,731	-	8,874	-	-	-	-	-
Retirement benefit liability	-	-	-	-	-	-	-	-	-	-
Other liabilities	2,444,366	2,250,539	1,767,414	1,870,865	1,561,162	1,963,119	1,751,647	1,304,943	1,297,739	1,227,912
Total Liabilities	94,819,406	82,933,537	77,582,081	73,340,498	70,378,805	65,234,951	58,319,582	53,762,585	50,548,446	50,320,870
SHAREHOLDERS' EQUITY										
Paid up capital	782,578	782,578	652,148	652,148	652,148	782,578	782,578	652,148	652,148	652,148
Share premium	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735	2,197,735
Revaluation reserve	259,651	139,593	135,460	86,122	366,241	14,343	23,268	21,929	17,241	280,559
Retained earnings	7,388,054	6,788,765	6,147,024	5,627,348	5,368,694	6,344,500	5,817,359	5,258,372	4,814,103	4,636,632
Statutory loan loss reserve	115,291	115,291	115,291	115,291	115,291	115,291	115,291	115,291	115,291	115,291
Proposed dividends	-	-	260,859	260,859	-	-	-	260,859	260,859	-
Capital grants	-	-	-	-	-	-	-	-	-	-
Total Shareholders' Equity	10,743,309	10,023,962	9,508,517	8,939,503	8,700,109	9,454,447	8,936,231	8,506,334	8,057,377	7,882,365
Non controlling interests	1,633,662	1,454,749	1,402,286	1,320,176	1,147,644	-	-	-	-	-
Total Equity	12,376,971	11,478,711	10,910,803	10,259,679	9,847,753	9,454,447	8,936,231	8,506,334	8,057,377	7,882,365
Total Liabilities and Shareholders' Equity	107,196,377	94,412,248	88,492,884	83,600,177	80,226,558	74,689,398	67,255,813	62,268,919	58,605,823	58,203,235

	GROUP					BANK				
PROFIT AND LOSS ACCOUNT	Sep. 2011 Shs 000 Unaudited	Jun. 2011 Shs 000 Unaudited	Mar. 2011 Shs 000 Unaudited	Dec. 2010 Shs 000 Audited	Sep. 2010 Shs 000 Unaudited	Sep. 2011 Shs 000 Unaudited	Jun. 2011 Shs 000 Unaudited	Mar. 2011 Shs 000 Unaudited	Dec. 2010 Shs 000 Audited	Sep. 2010 Shs 000 Unaudited
INTEREST INCOME										
Loans and advances	5,944,064	3,714,199	1,784,606	6,193,158	4,633,351	4,296,903	2,676,199	1,293,178	4,514,442	3,414,781
Government securities	561,497	332,127	102,126	913,045	702,260	324,495	180,503	26,043	652,556	510,130
Deposits and placements with banking institutions	190,712	82,919	38,880	257,976	104,983	121,239	68,075	31,720	235,129	85,627
Other interest income	-	-	-	-	-	-	-	-	-	-
Total interest income	6,696,273	4,129,245	1,925,612	7,364,179	5,440,594	4,742,637	2,924,777	1,350,941	5,402,127	4,010,538
INTEREST EXPENSES										
Customer deposits	1,885,630	1,107,714	521,492	2,445,552	1,919,598	1,399,517	813,796	387,241	1,877,994	1,480,622
Deposits and placements from banking institutions	75,213	43,727	25,664	35,865	26,554	30,982	20,542	9,945	29,077	19,210
Other interest expenses	58,293	29,145	14,075	63,912	44,318	58,293	29,145	14,075	59,889	44,318
Total interest expenses	2,019,136	1,180,586	561,231	2,545,329	1,990,470	1,488,792	863,483	411,261	1,966,960	1,544,150
NET INTEREST INCOME	4,677,137	2,948,659	1,364,381	4,818,850	3,450,124	3,253,845	2,061,294	939,680	3,435,167	2,466,388
OTHER OPERATING INCOME										
Fees and commissions on loans and advances	411,218	256,065	129,194	386,006	273,542	260,966	163,575	82,728	250,204	182,536
Other fees and commissions income	699,806	424,472	200,677	721,912	509,739	389,687	234,621	114,188	415,351	296,119
Foreign exchange trading income	707,555	421,130	189,500	683,208	541,116	463,000	278,299	123,731	402,418	316,656
Dividend income	-	-	-	2,550	-	15,432	15,432	-	12,623	10,073
Other income	199,774	177,574	148,277	1,094,378	1,052,362	140,221	141,108	135,722	1,049,309	1,025,984
Total Non-Interest Income	2,018,353	1,279,241	667,648	2,888,054	2,376,759	1,269,306	833,035	456,369	2,129,905	1,831,368
TOTAL OPERATING INCOME	6,695,490	4,227,900	2,032,029	7,706,904	5,826,883	4,523,151	2,894,329	1,396,049	5,565,072	4,297,756
OPERATING EXPENSES										
Loan loss provision	366,848	197,834	124,302	571,077	490,495	274,045	161,197	97,460	445,700	400,605
Staff costs	1,430,290	832,299	467,137	1,720,717	1,187,158	871,383	473,782	294,808	1,117,955	756,371
Directors' emoluments	47,327	30,502	8,583	57,459	40,604	23,630	13,485	7,520	29,585	22,122
Rentals charges	225,903	147,592	70,090	221,378	153,044	118,717	81,700	40,360	126,966	97,632
Depreciation charge on property and equipment	260,800	170,037	83,599	301,501	223,742	134,104	88,173	43,228	152,556	112,044
Amortisation charges	71,769	46,358	22,864	72,833	50,937	46,989	30,095	15,071	43,097	28,742
Other operating expenses	1,183,618	747,751	376,077	1,297,488	931,627	655,303	425,041	214,110	777,402	528,804
Total operating expenses	3,586,555	2,172,373	1,152,652	4,242,453	3,077,607	2,124,171	1,273,473	712,557	2,693,261	1,946,320
Profit from operations	3,108,935	2,055,527	879,377	3,464,451	2,749,276	2,398,980	1,620,856	683,492	2,871,811	2,351,436
Share of associates profit after tax	610	410	129	(1,452)	-	-	-	-	-	-
Profit before tax	3,109,545	2,055,937	879,506	3,462,999	2,749,276	2,398,980	1,620,856	683,492	2,871,811	2,351,436
Current tax	(921,887)	(573,204)	(281,470)	(1,114,604)	(849,952)	(723,816)	(451,473)	(239,222)	(943,019)	(745,757)
Deferred tax (charge)/credit	(13,121)	(5,066)	(17,348)	133,775	(3,299)	10,152	10,152	-	129,354	14,292
Profit after tax	2,174,537	1,477,667	580,688	2,482,170	1,896,025	1,685,316	1,179,535	444,270	2,058,146	1,619,971
Non controlling interests	224,829	139,970	60,883	197,346	129,709	-	-	-	-	-
Profit after tax and non controlling interests	1,949,708	1,337,697	519,805	2,284,824	1,766,316	1,685,316	1,179,535	444,270	2,058,146	1,619,971
Earnings per Share (Shs per share)	-basic 9.97	6.84	3.19	14.01	10.83	8.6	6.03	2.72	12.62	9.94
	-diluted 9.97	6.84	2.66	11.68	9.03	8.6	6.03	2.27	10.52	8.28
Dividend per Share (Shs per share)	-	-	-	1.60	-	-	-	-	1.60	-

OTHER DISCLOSURES

GROUP

BANK

(1) NON -PERFORMING LOANS AND ADVANCES

	Sep. 2011 Shs 000 Unaudited	Jun. 2011 Shs 000 Unaudited	Mar. 2011 Shs 000 Unaudited	Dec. 2010 Shs 000 Audited	Sep. 2010 Shs 000 Unaudited
(a) Gross non-performing loans and advances	915,006	786,321	812,157	787,800	820,350
(b) Interest in suspense	106,777	86,529	108,411	98,025	90,935
(c) Total Non-Performing Loans and Advances (a-b)	808,229	699,792	703,746	689,775	729,415
(d) Loan loss provisions	699,762	661,796	650,470	645,610	638,467
(e) Net Non-Performing Loans (c-d)	108,467	37,996	53,276	44,165	90,948
(f) Discounted Value of Securities	108,467	37,996	53,276	44,165	90,948
(g) Net NPLs Exposure (e-f)	-	-	-	-	-
(2) Insider Loans and Advances					
(a) Directors, Shareholders and associates	1,730,848	1,211,099	1,335,333	1,153,496	1,199,587
(b) Employees	345,494	252,937	266,955	236,689	222,832
(c) Total Insider Loans and Advances	2,076,342	1,464,036	1,602,288	1,390,185	1,422,419
(3) Off-Balance Sheet Items					
(a) Letters of credit, guarantees, acceptances	11,430,583	7,930,027	8,050,098	7,572,267	5,660,905
(b) Other contingent liabilities	15,173,778	16,705,233	15,101,700	9,305,636	12,096,711
(c) Total Contingent Liabilities	26,604,361	24,635,260	23,151,798	16,877,903	17,757,616
(4) Capital Strength					
(a) Core Capital					
(b) Minimum Statutory Capital					
(c) Excess/(Deficiency)					
(d) Supplementary capital					
(e) Total capital (a+d)					
(f) Total risk weighted assets					
(g) Core capital/total deposit liabilities					
(h) Minimum Statutory Ratio					
(i) Excess/(Deficiency) (g-h)					
(j) Core capital/total risk weighted assets					
(k) Minimum Statutory Ratio					
(l) Excess/(Deficiency) (j-k)					
(m) Total capital/total risk weighted assets					
(n) Minimum Statutory Ratio					
(o) Excess/(Deficiency) (m-n)					
(5) Liquidity					
(a) Liquidity Ratio					
(b) Minimum Statutory Ratio					
(c) Excess/(Deficiency) (a-b)					

	Sep. 2011 Shs 000 Unaudited	Jun. 2011 Shs 000 Unaudited	Mar. 2011 Shs 000 Unaudited	Dec. 2010 Shs 000 Audited	Sep. 2010 Shs 000 Unaudited
(a) Gross non-performing loans and advances	698,235	689,929	678,987	682,849	669,483
(b) Interest in suspense	86,678	79,089	98,193	93,366	84,702
(c) Total Non-Performing Loans and Advances (a-b)	611,557	610,840	580,794	589,483	584,781
(d) Loan loss provisions	610,442	609,731	579,685	588,379	583,766
(e) Net Non-Performing Loans (c-d)	1,115	1,109	1,109	1,104	1,015
(f) Discounted Value of Securities	1,115	1,109	1,109	1,104	1,015
(g) Net NPLs Exposure (e-f)	-	-	-	-	-
(2) Insider Loans and Advances					
(a) Directors, Shareholders and associates	1,594,450	1,103,734	1,224,067	1,056,199	1,108,269
(b) Employees	255,989	217,692	195,094	168,258	157,515
(c) Total Insider Loans and Advances	1,850,439	1,321,426	1,419,161	1,224,457	1,265,784
(3) Off-Balance Sheet Items					
(a) Letters of credit, guarantees, acceptances	8,595,115	5,955,171	6,223,995	5,925,310	4,177,703
(b) Other contingent liabilities	13,416,550	15,606,725	14,153,122	8,745,297	11,658,229
(c) Total Contingent Liabilities	22,011,665	21,561,896	20,377,117	14,670,607	15,835,932
(4) Capital Strength					
(a) Core Capital	7,143,667	6,897,431	6,848,912	6,636,997	5,607,650
(b) Minimum Statutory Capital	500,000	500,000	500,000	500,000	350,000
(c) Excess/(Deficiency)	6,643,667	6,397,431	6,348,912	6,136,997	5,257,650
(d) Supplementary capital	1,638,748	1,466,176	1,378,637	1,335,641	1,345,023
(e) Total capital (a+d)	8,782,415	8,363,607	8,227,549	7,972,638	6,952,673
(f) Total risk weighted assets	61,261,260	50,103,750	47,615,688	43,248,851	41,236,468
(g) Core capital/total deposit liabilities	12.3%	13.2%	14.4%	14.7%	13.0%
(h) Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%
(i) Excess/(Deficiency) (g-h)	4.3%	5.2%	6.4%	6.7%	5.0%
(j) Core capital/total risk weighted assets	11.7%	13.8%	14.4%	15.3%	13.6%
(k) Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%
(l) Excess/(Deficiency) (j-k)	3.7%	5.8%	6.4%	7.3%	5.6%
(m) Total capital/total risk weighted assets	14.3%	16.7%	17.3%	18.4%	16.9%
(n) Minimum Statutory Ratio	12.0%	12.0%	12.0%	12.0%	12.0%
(o) Excess/(Deficiency) (m-n)	2.3%	4.7%	5.3%	6.4%	4.9%
(5) Liquidity					
(a) Liquidity Ratio	29.5%	32.6%	34.4%	35.8%	35.0%
(b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%
(c) Excess/(Deficiency) (a-b)	9.5%	12.6%	14.4%	15.8%	15.0%

MESSAGE FROM DIRECTORS

The above balance sheet and profit and loss account are extracts from the group's financial statements.

Abdul Samji
Chairman

Nasim Devji
Managing Director

